

Adj. Operating Margin	11%
Assumptions:	
Sales grow at 20% a year	
Adj. Operating Margins hit 15%	
Sales	\$153,771
Operating Margin	15%
EBIT	\$230,656
2017 EV/EBIT	8.5%
<u>2017 Valuation</u>	
Adj. EBIT	\$23,066
Multiple	20
Fair Value	\$461,313
Shares Out	476
Fair Value per Share	\$969
Price Today	\$427
Upside	127%
# Periods	3
CARG	31%

At this point, I have a few more case studies to share with fewer financial details but that nonetheless serve to illustrate the essential characteristic of 100-baggers: you need to have a long runway to grow. Alejandro, one of the analysts I mentioned earlier, prepared the following case studies.

Electronic Arts

An American entrepreneur named Trip Hawkins started Electronic Arts (EA) after leaving his post as a director of strategy and marketing at Apple Computer in 1982. Based in Redwood City, CA, the company develops and publishes video games.

EA became a 100-bagger in just 14 years. It hit the mark in 2004 — and kept going. Here Alejandro did the research on EA.

“The video game industry is still relatively young (40 years or so) and remains incredibly competitive,” Alejandro writes. “Founding members of this multi billion dollar industry have faltered and been overtaken by new players.”

He points out that the founding titans such as Atari and Sega no longer dominate as they once did. Even Nintendo has lost some of its